

Zero-Knowledge Zakat: Privacy, Transparency, and Sharia Compliance on the Blockchain

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Abstract—Zakat is a mandatory annual obligation in Islam for wealth redistribution. Blockchain-based zakat platforms have emerged, but existing systems log complete donor-recipient transactions on public ledgers, contradicting the Islamic principle of *nafs* (dignity). This paper presents a protocol that combines off-chain ZK proofs, nullifier-based double-donation prevention, and selective disclosure. Donors select full anonymity or partial disclosure while receiving SBT receipts. On-chain verification provides institutional transparency, but individual transaction data stays private when the donor selects Private mode and the client-side proving pipeline has not been compromised. A Sepolia prototype generates UltraHONK proofs in 246.8 ms (Barretenberg v4.2.1, 16-core Linux) with end-to-end `donateZK()` consuming 721,345 gas. Cryptographic privacy and institutional accountability prove compatible, supporting digital zakat that preserves donor and recipient privacy. The protocol contributes a privacy layer for Islamic social finance that directly addresses *nafs* protection under *maqasid al-shariah*.

Index Terms—Barretenberg, Blockchain, Ethereum Sepolia, Islamic FinTech, Noir, Nullifier Mechanism, Pedersen Hash, Privacy-Preserving Donations, Sharia Compliance, Soulbound Token, Zakat, Zero-Knowledge Proofs

I. INTRODUCTION

BAZNAS [1] estimates Indonesia’s annual zakat potential at Rp 327 trillion (approximately USD 20 billion), yet actual collection remains far lower. Blockchain-based zakat platforms have emerged to address operational gaps in collection and distribution. However, existing systems log complete donor-recipient transactions on public ledgers, exposing socioeconomic vulnerabilities that contradict Islamic privacy norms.

Maqasid al-shariah protects *nafs* (life and dignity) among its five essential objectives [5]. As Thoriquattyas and Rohmawati note, “Al-Shatibi does not clearly define human dignity (*karāmah*) as a separate *maqṣad*, unlike modern *maqāṣid* thinkers. However, his understanding of *Sharī’ah* as a religion that respects human moral agency and social responsibility necessarily incorporates dignity” [5]. Ibn Ashur extended this framework to encompass financial dignity, arguing that exposing an individual’s financial weakness to the public constitutes harm to their honour [6]. Classical Islamic sources consider concealed charity (*sadaqah al-sirr*) superior to public giving precisely because it protects the recipient’s dignity. A blockchain that permanently records zakat eligibility on Etherscan contradicts this principle directly.

Zero-Knowledge Proofs (ZKPs) address this contradiction by enabling cryptographic verification without exposing the underlying data. Hameed et al. [7] and Wen et al. [8] have surveyed ZKP constructions and zk-SNARK variants suitable for blockchain deployment. Noir [10] was selected over alternatives such as Circom because zakat eligibility rules involve conditional business logic, namely *nisab* thresholds and *hawl* holding periods, that require readable and auditable code rather than low-level arithmetic circuit descriptions. Noir compiles to an intermediate representation (ACIR) that Barretenberg’s UltraHONK prover [9] turns into a succinct proof, verifiable on-chain but keeping the witness private. Buterin et al. [15] have argued that ZKPs can reconcile privacy with regulatory compliance.

This study employs a Design Science Research (DSR) methodology. DSR is appropriate because the primary contribution is an artifact, namely the ZKT protocol, whose design must be iteratively evaluated against Sharia requirements and performance benchmarks. The protocol implements a Noir circuit encoding *nisab* and *hawl* as verifiable predicates, a Pedersen-hash nullifier preventing double-claims without deanonymizing recipients, and a four-tier donor privacy model (Private, Semi-Private, Verified-Private, Public).

This paper contributes a domain-specific privacy protocol for Islamic social finance that directly addresses *nafs* protection under *maqasid al-shariah*. Section II surveys related work. Section III presents the DSR methodology. Section IV reports implementation, benchmarks, and security analysis. Section V discusses Sharia compliance and deployment assumptions, and Section VI concludes.

II. LITERATURE REVIEW

Research on blockchain zakat is growing. Khan’s decentralized platform [2] set the baseline, showing that collection and distribution can work without intermediaries. Nazeri et al. [3] examined the Malaysian context and found that blockchain features align naturally with zakat management requirements. Khairi et al. [4] extended this work through a full ERC-20 token system with automated disbursement and a permanent audit trail. Nazeri et al. [20] examined the potential and challenges more broadly. All of these systems share a common limitation in that every one records all transactional data on

a publicly accessible ledger, making complete donor-recipient transparency available to anyone running an Ethereum node. Fauzi et al. [19] confirmed through bibliometric analysis that research interest is climbing across Muslim-majority countries. Ascarya [20] showed that Islamic social finance instruments (zakat, infaq, sadaqah, waqf) supported economic recovery during COVID-19. Unal and Aysan [21] proposed blockchain as a harmonization tool for differing Sharia-compliance frameworks. Muharam and Osman [26] explored the sustainability angle. None of these works integrate privacy-preserving transaction mechanisms.

Examined side by side, the three core systems differ in scope but converge on the same privacy posture. Khan’s platform [2] operates at the collection-and-distribution layer without specifying a token standard or consent model. Nazeri et al. [3] evaluated blockchain features in the Malaysian regulatory context but did not implement a working system. Khairi et al. [4] produced the most complete implementation with ERC-20 tokens, automated disbursement, and an audit trail, yet none of these works incorporate any mechanism for selective disclosure, donor anonymity, or recipient identity protection. The absence is structural, not incidental, because each system treats full transparency as a design requirement rather than a limitation to be mitigated.

On the ZKP side, the survey literature is extensive. Hameed et al. [7] covered the protocol space and Wen et al. [8] focused on zk-SNARK variants for blockchain deployment. Williams [21] positioned ZKPs within the broader blockchain architecture. Poseidon, introduced by Grassi et al. [11], reduced constraint counts by up to $8\times$ compared to Pedersen Hash on EVM chains. This work uses Noir [10], a Rust-like DSL that compiles to ACIR, with Barretenberg’s UltraHONK prover generating the proof and a Solidity verifier checking it on Sepolia. The pipeline stays client-side, meaning private inputs never leave the donor’s machine. Proof hashes anchor on-chain for anyone to audit. Buterin et al. [15] made the broader case that ZKPs can reconcile privacy with regulation, and Mühle et al. [18] applied zk-SNARKs to identity management for KYC.

Three research gaps emerge from this landscape. Existing blockchain zakat platforms, by their own design, lack any privacy-preserving mechanism. Nazeri et al. [3] acknowledged as much when they identified complete traceability as a design objective, rather than a limitation to be overcome. General-purpose ZKP frameworks can anonymize transactions but carry no notion of Islamic eligibility. They hide a transfer without proving the sender meets nisab or hawl. No prior work combines programmable privacy, meaning Noir circuits with verifiable predicates, with Islamic social finance instruments. This paper addresses these gaps.

Fig. 1 positions this research relative to three adjacent domains and the Design Science Research methodology. Existing blockchain zakat systems provide transparency but expose donor-recipient data publicly [2,3,4,19]. General ZKP privacy frameworks enable anonymous transactions without Islamic eligibility predicates [7,8,14,15]. Islamic social finance studies digitize zakat without ZK integration [20,21,24,25]. The

DSR methodology (bottom-right) justifies the artifact-driven approach of building, evaluating, and refining the protocol on-chain. ZKT bridges these domains by combining zero-knowledge proofs with Sharia-compliant eligibility verification, instantiated and validated via Sepolia deployment (v8). These gaps motivate the artifact-driven design science methodology described in the following section.

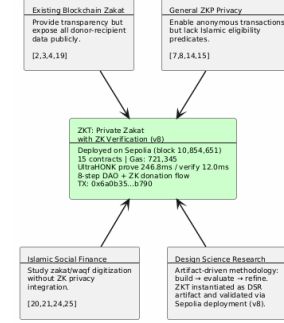


Fig. 1. Research positioning of ZKT relative to four adjacent domains

Fig. 2 contrasts traditional zakat systems, where donor-recipient data sits exposed on a public ledger, with the proposed ZKT model that preserves privacy through off-chain proving and bounded on-chain disclosure.

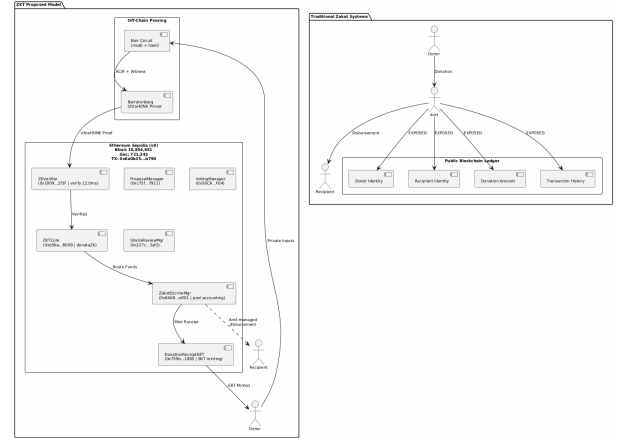


Fig. 2. Traditional Zakat Paradigm vs. Proposed ZKT Model

III. METHODOLOGY

This study employs a Design Science Research (DSR) methodology across five phases, as mapped in Fig. 3. Phase 1 identifies the research problem through a literature search spanning blockchain zakat, ZKP privacy frameworks, and Islamic finance instruments across 29 papers published between 2021 and 2025. Phase 2 designs the ZKT protocol, the Noir circuit architecture encoding nisab and hawl verification, and the four-tier privacy model. Phase 3 implements the system using nargo v1.0.0-beta.21, Barretenberg v4.2.1, 15 Solidity contracts deployed via a single forge script to Sepolia, and a Next.js 15 PWA frontend with wagmi and XellarKit wallet connectivity. Phase 4 demonstrates the prototype on

Sepolia testnet with 247 ms proof generation and 12.0 ms verification. Phase 5 evaluates through Foundry gas reports, security properties analysis, and Sharia compliance review.

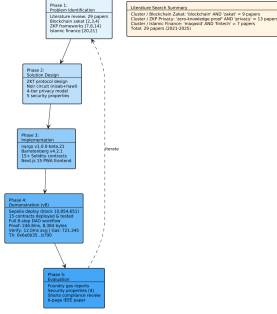


Fig. 3. DSR Methodology with five phases and literature search summary

The DSR methodology produced the results that follow, organized from system architecture to performance evaluation and security verification.

IV. RESULTS

A. System Overview and Threat Model

The ZKT protocol uses a five-actor trust model. The actors are donor (ZKP prover), recipient (SBT receipt holder), amil institution (verifier), off-chain proving infrastructure (Noir circuits and Barretenberg prover), and Ethereum Sepolia (public settlement layer).

The threat model assumes: (1) an honest-but-curious verifier, (2) a potentially malicious claimant, and (3) a public blockchain network subject to transaction graph analysis. The protocol guarantees the properties summarized in Table I.

TABLE I
ZKT PROTOCOL SECURITY PROPERTIES

Property	Guarantee
Donor anonymity	Identities and amounts never exposed on-chain. Only ZK proofs are publicly verifiable.
Recipient privacy	Donor-side privacy via ZK proofs. Recipient encrypted notes reserved for future work.
Soundness	Non-eligible recipient cannot generate an accepted proof under q-PKE assumption [11].
Double-donation	Nullifier hash prevents the same recipient from claiming zakat more than once per cycle.
Institutional accountability	Amil institutions verify aggregate compliance without accessing individual transaction data, assuming access to a Sepolia node and independent verification of the Honk verifier contract [5], [6].

For the purposes of this protocol, privacy is operationally defined as the inability of an external blockchain observer to link a donor address to a specific donation amount, a recipient address to a zakat claim, or a donor-recipient pair using only on-chain data. Accountability is defined as the completeness and public verifiability of the `ZKDonationReceived` event stream and the nullifier registry, such that an amil institution can independently reconstruct aggregate zakat flow without accessing individual identity records. Institutional trust (*amanah*)

is measured by whether the `ProofVerified` event enables independent audit of every claim processed on-chain.

The protocol is considered successful if four criteria are met. First, no cleartext donor-recipient pairs appear on-chain when the donor selects Private mode. Second, duplicate nullifier submissions are rejected with 100% reliability. Third, proof generation completes entirely client-side, with no private witness data transmitted to any external node. Fourth, amil aggregate compliance reports are independently auditable from emitted events without requiring off-chain data sources.

Fig. 4 shows the three-layer protocol architecture. The off-chain proving pipeline compiles Noir circuits to ACIR and generates UltraHONK proofs via Barretenberg at 247 ms. The Sepolia settlement layer hosts ZKTCORE and ZakatEscrow-Manager. The Next.js PWA frontend uses wagmi/XellarKit for wallet connectivity.

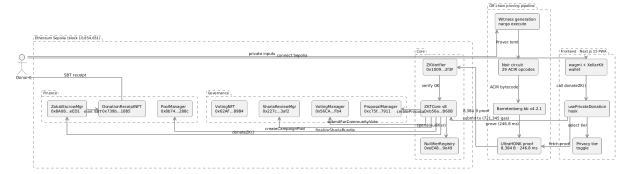


Fig. 4. ZKT Protocol Architecture: off-chain proving pipeline and on-chain settlement

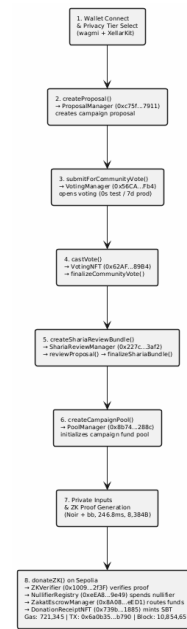


Fig. 5. ZKT Donation Flow: from wallet connection to SBT receipt to the donor

B. System Architecture and Payment Flow

Noir circuits run client-side. Sepolia handles settlement. Donors choose stablecoins or ETH. Everything flows through `donateZK()`. Proof generation occurs off-chain, while verification runs on-chain. Privacy is provided by the ZK proofs.

depends on encrypted note disbursement reserved for future work.

Privacy Exposure Analysis. The current prototype exposes several privacy vectors beyond those resolved by the nullifier mechanism. The recipient address is a public circuit input transmitted in the calldata of every `donateZK()` transaction, making it visible to any blockchain observer and to the amil institution. In Semi-Private mode, the donor address is emitted in the `ZKDonationReceived` event. Transaction graph analysis on the public Sepolia ledger could potentially correlate donation timing with recipient claim timing. The Web Worker proving model isolates private witness data from the browser main thread but does not protect against IP-level or browser-based side-channel attacks. Donations to the same pool reveal aggregate economic patterns even when individual amounts are hidden. Each of these exposures is acknowledged as a limitation of the current prototype and is addressed in the future work roadmap through encrypted note disbursement [15], private decentralized identifiers, and potential integration with on-chain mixer patterns [16].

The security analysis confirms that the protocol meets its design goals. The following section discusses these results in the context of Sharia compliance and deployment feasibility.

V. DISCUSSION

A. Sharia Compliance and Deployment

Maqasid al-shariah is anchored by five *daruriyyat*, namely religion, life, intellect, progeny, and wealth [5]. Al-Shatibi formulated these categories centuries before blockchain existed. Ibn Ashur later extended *hifz al-nafs* to encompass dignity, arguing that exposing an individual's financial weakness to the public constitutes harm to their honour [6]. A single address recorded as a zakat recipient on Etherscan broadcasts below-nisab status permanently, an outcome that aligns directly with Ibn Ashur's reasoning even though the technology itself was unimaginable in his time.

Azizov et al. [25] propose a maqasid framework for fintech regulation. Latang et al. [24] examine the Islamic legal status of cryptocurrency assets. Pramuka et al. [27] explore blockchain's role in Islamic charitable crowdfunding. This work addresses the donor side, using ZK proofs and nullifier-based anonymity. Recipient-side privacy through encrypted private notes is reserved for future work.

Two maqasid dimensions are directly engaged. *Hifz al-nafs* manifests through Private and Semi-Private modes keeping donations and linkages off-chain. *Hifz al-mal* operates through the nullifier registry stopping double-claims and the proof's soundness blocking fake eligibility. *Amanah*, institutional trust, flows from the `ProofVerified` event. Amil institutions audit aggregate flows without ever touching individual records.

Production deployment requires three prerequisites. Indonesia's OJK Fintech Sandbox must grant regulatory approval, amil institution staff must be trained on wallet management and proof verification workflows, and a rupiah-backed digital currency (such as Bank Indonesia's planned CBDC under Project Garuda) must replace the mock IDRX stablecoin.

B. Limitations and Future Work

The circuit covers nisab and hawl. Eight asnaf categories are architecturally possible but not yet implemented. The amil institution disburses through `ZakatEscrowManager` today with no on-chain proof the money reached the mustahik. DIDs for recipients would close that gap and make disbursements verifiable. A dual governance model, Sharia Council ZK DAO plus Community Donor DAO, is under design. Other directions include recursive proof systems for multi-period eligibility, compliance-friendly ZK protocols for AML/CFT, and batched settlement optimization [7], [17], [23]. These limitations frame the concluding summary of the protocol's principal findings and its path toward production deployment.

VI. CONCLUSION

A privacy-preserving zakat protocol was deployed on Ethereum Sepolia using Noir circuits and UltraHONK proofs. The circuit (29 ACIR opcodes) verifies nisab and hawl eligibility client-side, a Pedersen-hash nullifier prevents double-claims without deanonymizing recipients, and a four-tier privacy model lets donors choose their disclosure level. Across five benchmark runs, proof generation averaged 246.8 ms (Barretenberg v4.2.1) and an end-to-end Sepolia transaction consumed 721,345 gas.

The core finding is that cryptographic privacy and Sharia compliance are not in tension. Ibn Ashur's framing of *nafs* protection as encompassing financial dignity [6] aligns with ZK proofs, which verify eligibility while keeping identity, income, and assets private. The `ZKDonationReceived` event gives amil institutions an auditable record of aggregate zakat flow, while the nullifier registry prevents abuse, decoupling what the blockchain records from what it reveals about individuals.

Future work extends the circuit to all eight asnaf categories, adds recipient-side encrypted note disbursement, and pursues OJK Fintech Sandbox integration for production deployment.

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